

SECTION A

[100 MARKS]

Read the case study below and answer the questions that follow.

The Human Relations behind Apple



Apple Inc. is the well-known company that sells many of the electronics the world uses today. A few of these well-known products are the iPhone, iPod, iPad, and Mac computers. Apple's current mission statement is, "Apple designs Macs, the best personal computers in the world. Apple leads the digital music revolution with its iPods and iTunes online store. Apple had reinvented the mobile phone with its revolutionary iPhone and App Store.

The Human Relations Approach of Apple Inc. has helped them grow. The Human Relations Approach is the idea that employees are more motivated to do work when they are given praise, a feeling of achievement or accomplishment, when they feel like they belong, and are given financial reward. If a worker views their work to have significance and is encouraged to be active and productive then the quality of his or her work will be higher. The theory also states that people want to be apart of a group that is supportive and wants to bring growth to its members (Perry, 2011).

The relationships between employees and employers and co-workers are essential when it comes to getting things done. This is how business works. If there were no positive human relations then projects wouldn't get done, new ideas wouldn't be formed and there would be no motivation. The workplace needs to be engaging and stable and human relations brings this into that space. It is crucial to give employees the satisfaction of their work being done well and that it is valued. This increases their motivation and productivity. When the employer recognizes the value and needs of an employee it goes a long way. The building of relationships needs to be active inside of an organization because they bring motivation and creativity.

The general atmosphere in an organization and the attitude of the management usually determines the performance level of its employees. If employees are building friendships with one another then the atmosphere will be happy and inviting, resulting in productivity. Human relations are important because relationships stem communication and communication brings forth success. Communication is the main component of a positive work environment (Kumar, n.d.).

<https://auorgcomm.wordpress.com/2016/11/02/the-human-relations-behind-apple/>

Answer ALL the questions in this section.

QUESTION ONE

(25 Marks)

"Management serves to support the establishment of goals, implementation of actions and utilisation of resources, so as to enable the achievement of the organisation's purpose."

Explain to the newly appointed managers at Apple, the responsibilities of the various levels of management, the skills managers need and the challenges faced by management in South Africa.

QUESTION TWO

(25 Marks)

Explain to the newly appointed managers at Apple, the benefits of the human relations approach and the contributions of Mary Parker Follett, Elton Mayo and Douglas McGregor. Elaborate on how Apple can effectively apply these contributions in a beneficial way.

QUESTION THREE

(25 Marks)

Discuss the characteristics of the management environment and analyse the **THREE (3)** approaches management can adopt in order to react to the environment. Furthermore, describe the market/task environment and provide examples to show the impact of the market variables on Apple.

QUESTION FOUR

4.1 Explain to the newly appointed managers at Apple the elements of leadership and differentiate clearly between management and leadership.

(12 Marks)

4.2 Analyse the principles of organising and show application of each principle to Apple.

(13 Marks)

Carefully read the case study below.

Popular Management Theories Decoded

Until the day computers can think, learn and feel emotions, humans will probably be the most complicated assets to manage. For this reason, proper management is vital to an organisation's success. Theorists have long speculated on what type of management is best for humans in the professional setting. Their management theories or collections of ideas that provide the framework for effective management strategy are implemented in modern workplaces to motivate and bring out the best in employees. It is important for managers to understand these different theories and know how to implement them. Some popular management theories are as follows:

Scientific theory by Frederick W. Taylor - This one is a classic. Taylor's scientific theory poses some fascinating questions by diving deeper into the efficiency of work processes. Taylor was an engineer, and he experimented in various ways to determine the most efficient and effective ways to get tasks done. Taylor created four principles of his scientific management theory. First, each task should be studied to determine the most efficient way to do the task. This disrupts traditional work processes. Second, workers should be matched to jobs that align with both their abilities and motivation. Third, workers should be monitored closely to ensure they only follow best working practices. Fourth, managers should spend time training employees and planning for future needs. There are a few positives of this theory. Maximising efficiency is a great idea. Assigning workers to jobs based on their abilities and motivation levels is also an interesting idea that could have beneficial effects in some areas. Major flaws in the theory include the de-emphasis on teamwork. An incredible focus on specific and individualized tasks eliminates creative problem-solving and makes teamwork obsolete. The scientific management theory also encourages micromanagement.

Administrative theory by Henri Fayol - Fayol developed six functions of management that work in conjunction with 14 management principles. This theory has a few core ideas that live on today. The six functions are Forecasting, Planning, Organising, Commanding, Coordinating and Controlling. The 14 principles are division of work, authority, discipline, unity of command, unity of direction, subordination of individual interests, remuneration, centralization, scalar chain, order, equity, stability of tenure of personnel, initiative and esprit de corps. Remembering all 14 principles can be challenging and makes more sense for a test on management than an entrepreneur running their business, but the principles apply in today's workforce.

Bureaucratic theory by Max Weber - Weber created the bureaucratic theory, which says an organization will be most efficient if it uses a bureaucratic structure. Weber's ideal business uses standard rules and procedures to organise itself. He believed this strategy was especially effective for large operations. His theory is based on five principles of task specialisation, hierarchy, formal selection, rules and requirements and impersonal. Some rules and standards are certainly necessary within every organisation. On the other hand, it is not easy to implement many of these ideas and almost impossible to keep emotions out of business. Emotions should not always dictate decisions, but the best managers can relate to their employees on a personal level.

Human relations theory by Elton Mayo - In stark contrast to Weber's bureaucratic theory of management, the human relations theory emphasizes relationships. Mayo believed that productivity increases when people feel like they are part of a team and valued by their co-workers. The human relations theory emphasizes praise and teamwork as motivational factors. While emphasizing personal factors is a good idea, it can be too much of a good thing. A happy medium between the bureaucratic theory and human relations theory might be a better goal for managers.

Systems theory - The systems theory of management believes that each business is a system, much like a living organism, with numerous things going on to keep the operation rolling along. The systems theory says everything needs to work together for a business to succeed.

X&Y theory by Douglas McGregor - The X&Y theory of management assumes there are two different types of workers. Theory X workers lack ambition and drive and need to be ordered around by bosses to do anything. Theory Y workers, on the other hand, enjoy work and strive for self-fulfilment. Both views of employees are extreme, as most workers fall somewhere between X and Y. Employees do not need to be ordered to do every task, but there is some need for discipline and rules for most employees. There should be a middle ground for implementing this theory.

When studying or implementing these theories, it is important to know the pros and cons of each and how those might apply to your business, even if you are not directly using a certain style. When it comes to implementing management theories, it

is important to understand that no two employees or businesses are the same. Management is both an art and science, and being an effective manager requires more than an understanding of certain theories.

(Adapted from source: <https://www.business.com/articles/popular-management-theories-decoded/>)

Answer ALL the questions in this section.

Question 1

(25 Marks)

Assume you are a manager of a shoe factory and in charge of 50 staff that are required to produce 5,000 shoes monthly. If you had a choice between the scientific management theory and the administrative management theory, which one of these theories will you employ in managing the staff and achieving the required output of 5,000 shoes monthly. In your response, indicate the management theory of your choice, provide a brief summary of the theory and give a detailed explanation why you chose it and why you believe it will be best in managing the employees at the factory and achieving the required output of 5,000 shoes on a monthly basis.

Question 2

(25 Marks)

Outline the pros and cons of the human relations approach and discuss at least FIVE (5) practices you will put in place to facilitate a *Human Relations Approach* in your institution.

Question 3

(25 Marks)

Elaborate on the systems theory and highlight why it is suitable in explaining the characteristic of the management environment.

Question 4

(25 Marks)

Some Contemporary Theories such as Total Quality Management (TQM), The Learning Organisation and Re-engineering have not been mentioned in the extract. It will be remiss however not to acknowledge them. Based on this, explain the practices that you will put in place as a manager of a small clothing shop to ensure that your shop becomes a learning organisation and that the processes of total quality management and reengineering are upheld.

Understanding of Micro and Macro Factors That Affect Your Business

Every business is affected by a myriad of factors. In other words, an organisation as such can never exist and operate "in a vacuum". It is a part of a larger entity known as the business environment. In broad terms, this environment can be divided into two categories. The first one is the micro-environment. This category influences the functionality of a particular business itself. The latter one is the macro-environment which affects the operation of all existing business entities out there. The two categories may be different, but both are essential to understand in order to truly see your business in its full context. You have to be knowledgeable about the business environment in order to be able to track and comprehend how various factors affect your company.

The micro-environment is basically the environment that has a direct impact on your business. It is related to the particular area where a company operates and can directly affect all of its business processes. In other words, it consists of all the factors that particularly affect a business. They have the ability to influence the daily proceedings and general performance of the company. Still, the effect that they have is not a long-lasting one. The micro-environment includes customers, suppliers, resellers, competitors, and the general public. The macro-environment is more general - it is the environment in the economy itself. It has an effect on how all business groups operate, perform, make decisions, and form strategies simultaneously. It is quite dynamic, which means that a business has to constantly track its changes. It consists of external factors that the company itself does not control but is certainly affected by. The factors that make up the macro-environment are economic factors, demographic forces, technological factors, natural and physical forces, political and legal forces, and social and cultural forces.

The SWOT analysis (Strengths, Weaknesses, Opportunities, and Threats) is useful both for understanding the micro and the macro factors. The former two are internal and affect the very business, while the latter are external and not under the organisation's control. In terms of strengths, one should ask questions about values brought in, difference made, and so on. On the other hand, when it comes to weaknesses, one needs to evaluate dependency on outside vendors, aspects that need to be improved, and so on. Opportunities are related to favourable circumstances that the company needs to make use of in order to improve its position on the market. Threats are factors that cannot be controlled but need to be acknowledged. This includes political, economic, and customer trends, as well as debts and costs. Both micro and macro factors have a strong influence on how successful your business is. Every decision that you make needs to take these two environments into consideration. Your marketing strategies have to be based on them as well, if you truly want them to be lucrative.

(Source: <https://www.mageplaza.com/blog/micro-and-macro-factors-affect-your-business.html>)

Answer ALL the questions in this section.

Question 1**(25 Marks)**

According to the extract, opportunities are related to favourable circumstances that the company needs to make use of in order to improve its position on the market whilst threats are factors that cannot be controlled but need to be acknowledged. As the General Manager of Young Talent Shoe Factory (a factory that makes shoes for young people), highlight FIVE (5) macro environmental forces that may impact your factory and the opportunities and/or threats they will present for your factory.

Question 2**(25 Marks)**

According to the extract, one has to be knowledgeable about the business environment in order to be able to track and comprehend how various factors affect your company. As such, it is essential to know the forces that determines competitions in industries. As the General Manager of Young Talent Shoe Factory, explain to the employees how Porter's five forces can determine the competition for an industry.

Question 3**(25 Marks)**

3.1 The micro-environment is related to the particular area where a company operates and can directly affect all of business processes. The value chain essentially comprises the processes which take place in the micro-environment. Drawing from your knowledge of organisational value chain, provide an outline of what you think the primary and secondary activities of Young Talent Shoe Factory value chain would be and provide relevant examples. (20 marks)

3.2 With reference to the extract, provide a brief explanation of the micro environment of an organisation. (5 marks)

Question 4**(25 Marks)**

Both micro and macro factors have a strong influence on how successful a business is. It is therefore important for organisations to learn to cope with uncertainties in the environment and be able to react to it. In light of this, elaborate on how contemporary day industries can cope with uncertainties in the environment and ways in which they can react to the environment. Provide relevant examples.

Read the extract and answer ALL the questions that follow.

Importance of Contemporary Management Theories in Managing Employees

Management theories help in increasing the level of productivity in organisations, and increasing the level of motivation to employees. Contemporary management theories teach managers on how to get the most of human assets. The contemporary management theories also help in encouraging staff to have more participation in decision making and improve interpersonal relations, between employees and with supervisors. Management school emerged as early as the twentieth century, focusing on two main directions. In scientific management, this focuses on the work of the individual and in administrative management, which focuses on the organization as a whole. Political, economic, technological and social changes served as an incentive for scientists to study the causes of inefficiency and to try to find effective methods and procedures for control. Demand and supply also play an important role, increase in demand relates with productions increase and workers trained according to the appropriate management methods. The power of using modern management theories is changed and evolved during different periods, but still it showed that the use of the contemporary management theories has an important role for the effective confrontation of the competition struggle and for being successful in the market. Management is the process of deciding what to do and then getting it done through the effective use of resources. It is about what managers do to make things happen. Employees as one of the most important capital of the enterprise require special treatment in order to achieve the company's objectives and goals. The importance of management theories since its beginnings, and over time has continued to be studied and constructed models and mixed theories that have tried to analyse the impact of human resources on the organisational structure and increased efficiency.

(Adapted from source: <https://ikm.mk/ojs/index.php/KIJ/article/view/2574>)

Answer ALL the questions in this section.

Question 1

(25 Marks)

According to the extract, employees as one of the most important capital of the enterprise require special treatment in order to achieve the company's objectives and goals. Based on this, argue in favour of the Human Relations Approach as the most suited management approach that will enable special treatment of employees in order to achieve the company's objectives and goals. Your argument should include the following:

A brief explanation of the human relations approach and its contributors (10 marks)

Relevant argument in favour of why it is the most suited approach. (15 marks)

Question 2

(25 Marks)

The extract states that management theories help in increasing the level of productivity in organization. Using the scientific and administrative management theory, explain their role in increasing productivity in organisations.

Question 3**(25 Marks)**

According to the extract, the use of the contemporary management theories has an important role for the effective confrontation of the competition struggle and for being successful in the market. Drawing from this statement, explain why it is important for present day organisations to embrace the chaos theory/approach (a contemporary theory of management). Your discussion should include the following:

3.1 A brief explanation of chaos theory (5 marks)

3.2 An explanation of why it important for present day organisations to embrace the chaos theory/approach (15 marks)

3.3 Outline the role management can play in facilitating an organisation's movement to a chaordic organisation (5 marks)

Question 4**(25 Marks)**

4.1 It is stated in the extract, that political, economic, technological and social changes served as an incentive for scientists to study the causes of inefficiency and to try to find effective methods and procedures for control. Drawing from this, provide an analysis of the environmental forces and factors which influenced the development of the various management theories. (15 marks)

4.2 The importance of management theories since its beginnings, and over time has continued to be studied. With regards to this statement provide an overview of the importance of the study for management theories for both management students and managers. (10 marks)

QUESTION 1**(10 Marks)**

Briefly explain each of the following terms:

- 1.1 Management
- 1.2 Interpersonal skills
- 1.3 Value Chain
- 1.4 Micro-environment
- 1.5 Power

QUESTION 2**(20 Marks)**

State whether the following statements are True or False. Write down the question number and the word True or False next to it. E.g. 2.11 True

- 2.1 Efficiency focuses on choosing the most appropriate goals and plans of action.
- 2.2 The focus of support activities is the provision of the product or service and its distribution to the consumer.
- 2.3 Systems Theory emphasizes the inter-relatedness and inter-dependence of the parts of the organisation.
- 2.4 The Informal Structure comprises of the relationships between managers and subordinates, as represented in the organisational chart.
- 2.5 Intermediaries include wholesalers, retailers and agents and serve to bridge the gap between the producer and the consumer.
- 2.6 Human Resource Control Systems include Performance measurement and Ratio analyses.
- 2.7 Conceptual Skills refers to the manager's ability to view the operation of the organisation and its parts holistically.
- 2.8 The learning organisation approach is an approach put forth by Hammer and Champy, and involves the redesign of organizational processes.
- 2.9 Total Quality Management (TQM) focuses the business on the achievement of quality through the prevention of mistakes.
- 2.10 The Operations Function influences the organisational transformation process where inputs are converted into organisational outputs.

QUESTION 3**(10 Marks)**

Match the contributor (Column A) to the correct management theory (Column B). Write down the question number and the correct letter next to it. E.g. 3.6 F

Column A - Contributor	Column B – Management Theory
3.1. Henry Gantt	A. Administrative Management Theory
3.2. Henri Fayol	B. Behavioural and Human Relations approach
3.3. Peter Senge	C. Re-engineering
3.4. Hampy and Champy	D. Scientific Management theory
3.5. Douglas McGregor	E. The Learning Organisation

QUESTION 4**(20 Marks)**

- 4.1 Tabulate **SEVEN (7)** differences between old and new organisations. (14 marks)
- 4.2 Comment on **THREE (3)** inter-related approaches which organisations can adopt in reacting to the environment. (6 marks)

QUESTION 5**(20 Marks)**

- 5.1 According to Ulrich (1998) the importance of Human Resources (HR) is due to five organisational challenges. Highlight these **FIVE (5)** challenges. (10 marks)
- 5.2 Post- entrepreneurial organisations presents some changes to traditional managers. Outline **FIVE (5)** of these changes. (10 marks)

QUESTION 6**(20 Marks)**

- 6.1 The profitability of an industry is determined by its strongest forces. Based on this, discuss Porter's five forces. (15 marks)
- 6.2 Leadership is a complex process which directly impacts on the performance of an organisation and it comprises a number of elements. Highlight **FIVE (5)** elements of leadership. (5 marks)

QUESTION 7**(20 Marks)**

The **TWO (2)** major theories which comprise the Classical Approach are the Scientific Management theory and Administrative Management theories.

Discuss these theories including their contributors.

QUESTION ONE**(10 Marks)**

Choose the correct answer. Write down the question number and the correct letter next to it. E.g. 1.6 A

1.1 Mintzberg (1990) identifies the following skills to be important to managerial work:

- A. Establishment of information networks
- B. Decision making in conditions of extreme ambiguity
- C. Introspective skills which provide for learning of the job
- D. All of the above

1.2 Freeman (1992) point out that the study of management theory is important in that the theories serve to:

- A. Guide management decisions;
- B. Shape the public's view of organizations;
- C. Make the manager aware of the business environment;
- D. A and C

1.3 Identify the one that is not a contemporary management theory:

- A. Total Quality Management (TQM)
- B. The Learning Organisation
- C. Scientific Management Theory
- D. Re-engineering

1.4 A number of scientific tools exist which can assist the manager in his/her planning efforts. These tools do not include:

- A. Forecasting
- B. Budgeting
- C. Scheduling
- D. Brainstorming

1.5 Two fundamental principles underlying organisation design are:

- A. Division of work and organisation structure
- B. Organisation structure and Learning structure
- C. Departmentalisation and resource allocation
- D. Coordination and conflict resolution

QUESTION TWO**(20 Marks)**

State whether the following statements are True or False. Write down the question number and the word True or False next to it. E.g. 2.11 True

- 2.1. Trait leadership theories focus on the behaviour of successful leaders.
- 2.2. Contingency leadership theories focus on the manner in which the situation impacts on the effectiveness of leadership.
- 2.3. The Purchasing Function is primarily aimed at the utilization of resources to manufacture products and render services.
- 2.4. Resource forecasting anticipates the future economic state of the country, such as the level of unemployment.
- 2.5. Secondary activities focus on the provision of the product and/or service and its distribution to the consumer.
- 2.6. The concept of congruence refers to achieving an appropriate balance between the parts of the organisation (system).
- 2.7. Total Quality Management involves the redesign (re-engineering) of organizational processes so as to create and sustain value for customers while managing costs.
- 2.8. The Macro-Environment refers to the greater environment, existing outside of the market and task environment.
- 2.9. The Chaos Theory highlights the inter-relatedness of environmental factors.
- 2.10. Suppliers provide the organisation with the 'inputs' required to produce the organisation's goods and/or services.

QUESTION THREE**(10 Marks)**

Match Column A with Column B. Write down the question number and the correct letter next to it. E.g. 3.6 J

Column A	Column B
3.1 Gantt chart	A. It predicts future technologies and determines when they should become economically viable.
3.2 Hersey & Blanchard model	B. It involves the implementation of various activities and techniques to improve operations performance
3.3 Technological forecasting	C. It serves to break a project down into smaller tasks.
3.4 Operations Improvement	D. It comprises the processes which take place in the micro-environment.
3.5 Value Chain	E. Focuses on the fit between a leader's style and the maturity of his/her subordinates

QUESTION FOUR**(20 Marks)**

Cronje et al identifies **FIVE (5)** challenges to management within South African region.

Discuss these challenges.

QUESTION FIVE**(20 Marks)**

Porter 1979 argues that the nature of competition within an industry is established through the prevalence of five forces.

Discuss these forces.

QUESTION SIX**(20 Marks)**

6.1. Leadership is a complex process which comprise **FIVE (5)** elements.

Comment on these elements.

(10 marks)

6.2. Provide **FIVE (5)** characteristics of an effective control system.

(10 marks)

QUESTION SEVEN**(20 Marks)**

7.1. According to Ulrich (1998), the importance of Human resources is due to some organisational challenges.

Briefly discuss these organisational challenges.

(10 marks)

7.2. Outline **FIVE (5)** differences between old and new organisations.

(10 marks)